

Micron Q2 2026 Earnings

Blind Sentiment & Directional Score: Financial results only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Financial results only** as the ONLY report content. The other sections (forward guidance, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Micron Technology, Inc. (MU)
Report	Fiscal Q2 2026 (February quarter)
Release date	Wednesday 18 March 2026, after close
Earnings call	4:30pm ET
Source	Motley Fool transcript
Read mode	cold; reported financial results only, no guidance, no Q&A, no price chart
Time to produce	31 minutes

Source material (read ONLY this)

Headline financials (assigned source: financial results only)

- Revenue \$23.9B, up 196% year over year and 75% sequentially.
- DRAM revenue \$18.8B, up 207% year over year and 74% sequentially, at 79% of total revenue. NAND revenue \$5.0B, up 169% year over year and 82% sequentially.
- Gross margin 75%, an 18 percentage point sequential improvement. Operating margin 69%, up 22 points sequentially and 44 points year over year.

- Non-GAAP diluted EPS \$12.20, up 155% sequentially and 682% year over year.
- Operating cash flow \$11.9B; free cash flow \$6.9B, 77% above the prior record. Capital expenditure \$5.0B.

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.85

Rationale. Revenue nearly tripled year over year with gross margin at 75% and EPS up 682%: this is as extreme an upcycle print as a memory company produces.

2 Directional signal

Signal: BUY

Rationale. Numbers of this magnitude beat essentially any expectation that could have been set. BUY.

3 Structured summary

- **What the source shows.** Every line is at or near a record, with margin expansion of 18 points in one quarter.
- **What the source cannot show.** No guide, and for a cyclical the forward comment usually matters more than the print.
- **Expectations bar.** Even a stretched bar looks cleared by 196% revenue growth.
- **Conviction.** High conviction on the reported numbers taken alone.

4 Evidence quotes

1. Revenue \$23.9B, up 196% year over year and 75% sequentially.
2. DRAM revenue \$18.8B, up 207% year over year and 74% sequentially, at 79% of total revenue. NAND revenue \$5.0B, up 169% year over year and 82% sequentially.
3. Gross margin 75%, an 18 percentage point sequential improvement. Operating margin 69%, up 22 points sequentially and 44 points year over year.

— **SEALED** —

Overnight move and call verification

MU close, 18 March 2026 (release day)	\$461.73
MU open, 19 March 2026	\$424.97
Overnight move	−7.96%

Call verification

- HOLD band test: $|-7.96\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is negative, so the correct directional call is **SELL**.

- Score given vs. correct call: signal was **BUY**, correct call **SELL**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	− 7.96%
D+1 close	−3.78%
D+3 close	−12.43%
D+5 close	−17.25%
D+10 close	−20.33%
D+20 close	−0.97%